

04-22-2025

Exam Discussion:

1)

A: ✓

B: ✓

C: ✓✓

2)

A: ✓

B: ✓

C: X (b1 + b3 collude)

↳ b1 100 for B, b3 100 for A

B → 1 Pay 40 $\Rightarrow 55 - 40 > 0$

A → 3 Pay 30 $\Rightarrow 40 - 30 > 0$

3) ✓

4)

A: ✓

B: ✓

C: X

↳ Reserve Price